

The EPF & MP Act, 1952 - The Foundation Track

Chapter F3.2 — From Zero: The Enabling Act, Section by Section, and the Powers You Will Exercise

Module	Foundation Layer — Module 3 — Social Security and EPFO
Chapter	Chapter F3.2
Topic	Official syllabus head 4 — Social Security in India
Version	v1.0
Compiled	10 August 2026
Exam stage	Recruitment Test (RT)

NOTE · HOW TO USE THIS DOCUMENT

The single most important statute in an APFC's working life, read in the Act's own order. It covers the architecture of an enabling Act and why the Act itself creates no benefit; Section 1(3) coverage at twenty, Section 1(4) voluntary coverage and Section 1(5) once covered always covered; Section 16 exclusions and Section 17 exemption; the Section 2 definitions, above all that employee includes a person employed by or through a contractor, and the trap that dearness allowance is excluded from basic wages yet included in the contribution base; Section 6 contributions with the full rate structure and the reduced rate categories; then the enforcement chain that is the heart of the chapter - Section 7A determination, 7B review, 7C escaped amount, 7-I appeal with the seventy-five per cent deposit, 7Q interest at twelve per cent, and 14B damages, together with the crucial distinction that damages may be waived for a sick company while interest may not; recovery under Sections 8 to 8G; and the protective provisions, Section 10 against attachment and Section 11 priority in insolvency. It closes on the reported 2026 changes, printed as pairs against the historic position. Study time 3 hours 30 minutes.

This is the FOUNDATION layer. Section numbers, thresholds and rates are as at August 2026, with the pre-Code Act and the Social Security Code 2020 given as pairs where they differ. The reported EPF Scheme 2026 changes are REPORTED, not Gazette-verified, and both the historic and reported positions are printed and labelled. Items that could not be verified are marked CONFIRM rather than guessed.

Table of Contents

0. How to Read a Statute You Will Be Enforcing	3
1. Session 1 - Who Is Covered ★★★★★	4
1.1 Section 1(3) - the trigger	4
1.2 Sections 16 and 17 - who is outside, and who is let out	5
2. Session 2 - The Definitions That Decide Every Dispute ★★★★★	7
3. Session 3 - The Money ★★★★★	10
4. Session 4 - Your Powers: 7A to 14B ★★★★★	12
5. Session 5 - Protections, and the Reported 2026 Position ★★★★★	16
6. Graded Practice - 44 Questions ★★★★★	19
6.1 Level 1 - Recognition	19
6.2 Level 2 - Understanding	20
6.3 Level 3 - Recruitment Test standard	21
7. Answers and Explanations	23
7.1 Level 1	23
7.2 Level 2	23
7.3 Level 3	24
8. One-Minute Revision	26
9. Five-Minute Wall Sheet	28

0. How to Read a Statute You Will Be Enforcing

You are not reading this Act as a student of law. You are reading it as the officer who will use it, so read it in the order in which you will use it.

WHY THIS EXISTS · WHY THIS ACT IS DIFFERENT FROM EVERY OTHER STATUTE IN THE MANUAL

Every other statute in Modules 2 and 3 tells somebody to do something and provides a penalty. **This one does something stranger: it creates almost no rights at all.**

The Employees' Provident Funds and Miscellaneous Provisions Act, 1952 has **no section fixing the rate of interest, no section stating the pension formula, and no section saying what a member may withdraw and when.** Those are all in **Schemes** made under it.

What the Act does instead is confer power - power to frame schemes, power to decide who is covered, power to determine what is owed, power to recover it, and power to punish. **It is an ENABLING Act**, and that single word explains most of its peculiarities.

Three consequences you must carry through the whole chapter:

- 1 **The important numbers can change without Parliament.** The interest rate, the withdrawal rules and the pension parameters live in Schemes amendable by **notification**. This is why the reported **EPF Scheme 2026** can replace the 1952 Scheme framework while **the parent Act remains the Act of 1952**
- 2 **A question naming the instrument is testing this distinction.** "Under the EPF & MP Act 1952..." and "under the Employees' Pension Scheme..." are different questions
- 3 **Your own power is in the Act, not the Scheme. Section 7A** is statutory. That is why an order under it is quasi-judicial and reviewable under Article 226, as you established in F3.1

FROM YOUR OWN WORLD · THE ENABLING STRUCTURE YOU ALREADY KNOW

You have used exactly this three-tier structure your entire banking career.

The RBI Act and the Banking Regulation Act confer power. They do not tell you the cash reserve ratio. **A Master Direction** issued under them states the ratio, and can be revised without amending the Act. **A branch circular** then tells you what to do at the counter.

Map it across, and the Act stops being strange:

- 1 **EPF & MP Act 1952** = the parent Act, the source of power
- 2 **The three Schemes** - EPF, EPS 1995, EDLI 1976 = the Master Direction, where the operative numbers live
- 3 **EPFO circulars and instructions** = the branch circular

And the practical lesson is identical in both worlds: when a rate changes you look for the **notification**, not a new Act - and when you are asked for authority to act, you cite the **Act**. **An APFC issuing a Section 7A order cites the Act; an APFC explaining why a member gets 8.25 per cent cites the Scheme.**

STUDY SESSION · CHAPTER F3.2 - THE FIVE SESSIONS

- 1 **Session 1** - The architecture, and **who is covered**: s.1(3), 1(4), 1(5), s.16, s.17 (Section 1)
- 2 **Session 2** - **The definitions in s.2** that decide every dispute (Section 2)
- 3 **Session 3** - **The money**: s.5, s.6, the rate structure and the ceiling (Section 3)
- 4 **Session 4** - **Your powers**: 7A, 7B, 7C, 7-I, 7Q, 14B and recovery (Section 4)
- 5 **Session 5** - The protections, penalties, and the reported 2026 position (Section 5)

Then **44 graded questions**. Budget **five sessions**, about **two days**.

1. Session 1 - Who Is Covered ★★★★★

1.1 Section 1(3) - the trigger

MUST MASTER · SECTION 1(3) - THE TWO LIMBS OF COVERAGE

The Act applies to:

- 1 **s.1(3)(a)** - every establishment which is a **factory** engaged in any industry specified in **Schedule I**, and in which **20 or more** persons are employed
- 2 **s.1(3)(b)** - any **other establishment** employing **20 or more** persons, or class of such establishments, which the **Central Government** may specify **by notification**

So there are two routes in, and the distinction is worth holding. Limb (a) is automatic for a scheduled factory. Limb (b) requires the Central Government to have notified that class of establishment - which is how the Act was progressively extended beyond factories to shops, cinemas, hospitals, educational institutions and the rest.

The proviso to s.1(3) lets the Central Government apply the Act to an establishment employing **fewer than 20** persons, after giving **not less than two months' notice** of its intention by notification.

THE NUMBER TO FIX: 20. Compare and keep separate:

- 1 **EPF - 20** employees
- 2 **ESI - 10** employees
- 3 **Gratuity - 10** employees
- 4 **Maternity Benefit - 10** employees
- 5 **Contract Labour - 20** (and 20 for the contractor)
- 6 **A co-operative society working WITHOUT the aid of power - 50** (see s.16 below)

And note what the threshold counts. It counts **persons employed**, not persons who are members. Casual, temporary, badli and **contractor's** workers all count towards the 20, because of the width of "employee" in s.2(f) - which is Session 2 and the most consequential definition in the Act.

MUST MASTER · SECTIONS 1(4) AND 1(5) - VOLUNTARY COVERAGE, AND THE ONE-WAY DOOR

s.1(4) - VOLUNTARY COVERAGE. Where the **employer and the majority of the employees agree** that the Act should apply, they may make a **joint request**, and the Central Government may apply the Act by notification - **even though the establishment is below the threshold.**

s.1(5) - ONCE COVERED, ALWAYS COVERED. An establishment to which the Act has become applicable **continues to be governed by it even if the number of persons employed later falls below 20.**

Learn 1(5) as the one-way door, because it is the most frequently examined proposition in the whole of Section 1. Coverage is easy to acquire and impossible to shed by shrinking. An employer who crossed 20 in 2019 and now employs 8 is still covered.

Why the law is built this way - and this is the reasoning to give if asked. A provident fund is a **long-term accumulation**. If coverage switched off whenever headcount dipped, a member's account would start and stop with his employer's fluctuations, contribution records would fragment, and the ten-year vesting for a pension would be unattainable in any small or seasonal business. **1(5) protects the continuity of the member's record, not the revenue of the fund.**

The obvious corollary, and the practical one for you: because coverage cannot be shed, an employer who argues "we are down to twelve employees, so the Act no longer applies to us" is making a submission you must reject **in terms of s.1(5)**, and you should say so in your order rather than merely disagreeing.

COMMON UPSC TRAP · THREE COVERAGE TRAPS

- 1 **The infancy period no longer exists.** The Act once gave a newly established factory a three-year **infancy protection** before coverage attached. **That was omitted by the Amendment Act of 1988.** So a new establishment crossing 20 is covered from the outset. **An option offering a three-year exemption for a new establishment is testing an obsolete provision**
- 2 **Voluntary coverage under 1(4) needs the majority of EMPLOYEES as well as the employer** - it is a **joint** request, not an employer's election. An option letting the employer opt in alone is wrong
- 3 **The threshold is 20 PERSONS EMPLOYED, not 20 MEMBERS.** Excluded employees and contractor's workers still count towards it, even though some of them will not contribute

1.2 Sections 16 and 17 - who is outside, and who is let out**MUST MASTER · S.16 - ESTABLISHMENTS TO WHICH THE ACT DOES NOT APPLY**

Distinguish two quite different ideas that candidates merge: **s.16 says the Act never applied; s.17 says it applies but the establishment runs its own fund.**

Under s.16 the Act does not apply to:

- 1 Any establishment registered under the **Co-operative Societies Act** employing **fewer than 50** persons and working **without the aid of power**. **Both conditions must hold** - under 50 and no power
- 2 Any establishment **belonging to or under the control of the Central or a State Government**, whose employees are entitled to a **contributory provident fund or old age pension** under a scheme or rule of that Government
- 3 Any establishment **set up under any Central, Provincial or State Act**, whose employees are entitled to a **contributory provident fund or old age pension** under that Act

The unifying principle is not size but DUPLICATION. Each exclusion describes somebody who **already has** a contributory fund or a pension. The Act steps aside rather than stacking a second scheme on top. **State that principle and you can reason your way to the exclusions instead of memorising them.**

s.16(2) additionally lets the Central Government, by notification and having regard to an establishment's **financial position** or other circumstances, **exempt it from the Act** for a specified period.

MUST MASTER · S.17 - EXEMPTION, AND THE NOT-LESS-FAVOURABLE TEST

An **exempted establishment** is one permitted under **s.17** to maintain its **own provident fund trust** instead of depositing with EPFO.

- 1 Exemption may be granted where the rules of the establishment's own fund are, in the matter of **rates of contribution and benefits, not less favourable** than those under the Act and the Scheme
- 2 The establishment must maintain proper accounts, submit returns, and its **fund is subject to inspection**
- 3 **Exemption may be withdrawn** for breach of conditions
- 4 Exemption from the **Pension Scheme** and from **EDLI** is dealt with separately - **EDLI exemption requires that the employees enjoy benefits not less favourable**, which in practice means a group insurance policy at least equal to the assurance under EDLI

Hold the distinction firmly, because it is the commonest confusion in Session 1:

- 1 **s.16 - the Act DOES NOT APPLY.** No fund, no contributions, no returns to EPFO
- 2 **s.17 - the Act APPLIES, but the money sits in the employer's OWN approved trust** on terms not less favourable, under EPFO's supervision

And note where exempted establishments have become topical. The reported position on the higher-pension question is that the **Madras High Court, Madurai bench, reported 9 July 2026, reaffirmed the entitlement of exempted establishments** - a reminder that s.17 status changes *who holds the money, not what the member is entitled to*. Litigation continues, and Chapter F3.3 takes it up.

CHECK YOURSELF · SESSION 1

- 1 Why is this called an enabling Act, and name three consequences
- 2 State s.1(3)(a) and 1(3)(b), and the difference between them
- 3 What may the Central Government do under the proviso to 1(3), and on what notice?
- 4 State s.1(4) and s.1(5). Who must agree under 1(4)?
- 5 Explain the policy reason for "once covered, always covered"
- 6 What happened to the infancy period, and when?
- 7 Give the three s.16 exclusions and the single principle uniting them
- 8 Distinguish s.16 from s.17 in one sentence each
- 9 What is the test for granting exemption under s.17?

2. Session 2 - The Definitions That Decide Every Dispute ★★★★★

Almost every Section 7A inquiry you will conduct turns on a definition, not on a rate. Two of them decide most of the money.

MUST MASTER · S.2(F) - EMPLOYEE, AND THE WORDS THAT WILL OCCUPY YOUR WORKING LIFE

"Employee" means any person who is employed for wages in any kind of work, manual or otherwise, in or in connection with the work of an establishment, and who gets his wages directly or indirectly from the employer - and includes any person employed by or through a CONTRACTOR in or in connection with the work of the establishment, and an apprentice other than one under the Apprentices Act 1961 or under the standing orders of the establishment.

Take the definition apart, because each phrase does work:

- 1 **"any kind of work, manual or otherwise"** - no distinction between workman and manager, skilled and unskilled. Compare the **worker** definition under the IR Code from F2.1, which **is** narrowed by function. **"Employee" here is WIDE**
- 2 **"in or in connection with the work of an establishment"** - not merely in the establishment. Work ancillary or incidental to the establishment's work is caught
- 3 **"directly or indirectly"** - the wage need not come from the employer's own hand
- 4 **"by or through a contractor"** - the decisive words, discussed below
- 5 **apprentices** - excluded only if under the **Apprentices Act 1961** or the **standing orders**. A so-called apprentice engaged outside those two channels **is an employee**

THE CENTREPIECE - contractor's workers. Because "employee" expressly **includes a person employed by or through a contractor**, the **principal employer owes the contributions in respect of the contractor's workers**. This is the same secondary-liability design you met in Chapter F2.7, and its consequences are the ones you will actually enforce:

- 1 The principal employer must ensure contributions are paid on **contract labour** engaged in or in connection with the work of the establishment
- 2 **The contractor's default is NO DEFENCE.** Nor is the contractor's disappearance
- 3 **s.8A** gives the principal employer a **right to recover** from the contractor the contribution it has paid on the contractor's employees - a right of **recovery**, not a defence to liability
- 4 Practically, this is why an inquiry examines **ledgers, vouchers and payments to contractors**, not merely the muster roll. **Money paid out as "contract charges" or "labour charges" is where unpaid provident fund liability hides**

If you remember one sentence from this chapter, remember this one: the wage bill you must assess is not the payroll, it is the payroll plus everything paid for labour through somebody else.

COMMON UPSC TRAP · S.2(B) BASIC WAGES - THE HIGHEST-VALUE TRAP IN THE ACT

"Basic wages" means all emoluments earned by an employee while on duty, or on leave or holiday with wages, paid or payable in cash - but EXCLUDES:

- 1 the **cash value of any food concession**
- 2 **dearness allowance**
- 3 **house rent allowance**
- 4 **overtime allowance**
- 5 **bonus**
- 6 **commission**, or any other similar allowance
- 7 any **presents** made by the employer

Now the trap, and it catches almost everybody the first time. Dearness allowance is **excluded from the definition of "basic wages"** in s.2(b) - **but contributions under s.6 are payable on "basic wages, dearness allowance and retaining allowance"**.

So dearness allowance is OUT of the definition and BACK IN through the charging section.

The definition and the contribution base are **not** the same thing.

State it as a rule to avoid ever getting this wrong:

- 1 **THE CONTRIBUTION BASE = BASIC WAGES + DEARNESS ALLOWANCE + RETAINING ALLOWANCE**
- 2 **HRA and overtime are excluded from both** - they are out of s.2(b) and are not added back by s.6
- 3 **s.6 expressly provides that dearness allowance includes the cash value of any food concession**, which is the other item pulled back in

Why the drafting is like this. Basic wages was defined to mean the *stable core* of the wage; the charging section then deliberately widens the base to include the *cost-of-living* element, because a base that excluded DA would shrink in real terms every year while prices rose. **That is the same CPI-IW to DA to wages to contributions chain you learned in F2.10** - and it is why an inflation index compiled in Chandigarh determines the figure in your assessment order.

And this is where employers litigate. The recurring dispute is whether a particular allowance is a genuine allowance or is **basic wages dressed up** to depress the contribution base. The approach the courts have taken is one of **substance over nomenclature**: an allowance paid **universally, ordinarily and necessarily** to all employees tends to be treated as part of basic wages, whatever it is called. **A "retaining allowance"** proper is the sum paid to retain an employee during a period when the establishment is not working - and it is expressly in the base.

KNOW · THE OTHER DEFINITIONS, IN BRIEF

- 1 **s.2(e) "employer"** - in relation to a **factory**, the **owner or occupier**, including an agent, the legal representative of a deceased owner, and a **manager** named under the Factories Act; in relation to any **other establishment**, the person who or the authority which has the **ultimate control over its affairs**, and where those affairs are entrusted to a manager or managing director, that person. **The test is ULTIMATE CONTROL**
- 2 **s.2(g) "factory"** - any premises where a manufacturing process is carried on, **with or without the aid of power**. **Note the contrast with the Factories Act 1948, where power matters to the threshold; here it does not**
- 3 **s.2(k) "occupier"** - the person who has ultimate control over the affairs of the factory
- 4 **s.2(ii) "superannuation"** - in relation to a member, attaining the age of **58 years**
- 5 **s.2(ff) "exempted establishment"** - one exempted under s.17
- 6 **"EXCLUDED EMPLOYEE"** is defined not in the Act but in **Paragraph 2(f) of the EPF Scheme**, and it matters daily. It covers a member who **withdrew the full amount** on retirement or on emigration; a person whose **pay at the time of joining exceeds the wage ceiling of Rs 15,000**; and an apprentice as described above

The excluded-employee point most often mis-stated: the **Rs 15,000 test applies at the time of joining**. An employee who joins on Rs 12,000 and later crosses Rs 15,000 **does not become an excluded employee** - he remains a member. **Coverage of a member, like coverage of an establishment, does not switch off when the number rises above the line.** The ceiling then operates as a **cap on the contribution base**, not as an exit.

CHECK YOURSELF · SESSION 2

- 1 Recite s.2(f) and identify the five phrases that do work in it
- 2 Why is the principal employer liable for a contractor's workers, and what does s.8A give him?
- 3 Is the contractor's default a defence? Where in an inquiry would you look for hidden liability?
- 4 List the seven exclusions from "basic wages"
- 5 State the contribution base. Which excluded item comes back in, and through which section?
- 6 Why was the Act drafted to exclude DA from the definition but include it in the base?
- 7 What is the test of an "employer" for a non-factory establishment?
- 8 Does "factory" here require the aid of power? Contrast the Factories Act
- 9 At what age does superannuation occur under s.2(II)?
- 10 Define excluded employee. Does an employee crossing Rs 15,000 mid-service become one?

3. Session 3 - The Money ★★★★★

One section creates the schemes and one section fixes the contributions. Everything else in this session is arithmetic you must be able to do without hesitating.

KNOW · SECTIONS 5 TO 6D - THE SCHEME-MAKING AND INSTITUTIONAL PROVISIONS

- 1 **s.5** - the Central Government may, by notification, frame the **Employees' Provident Funds Scheme**, and the Fund vests in and is administered by the **Central Board**
 - 2 **s.5A** - constitutes the **Central Board of Trustees: tripartite**, chaired by the **Union Minister of Labour and Employment**, with representatives of the Central and State Governments, employers and employees
 - 3 **s.5B** - the **Executive Committee** of the Board
 - 4 **s.5D** - appointment of officers: the **Central Provident Fund Commissioner** as chief executive, Additional, Deputy, Regional and **Assistant Provident Fund Commissioners**. **This is the section that creates your post**
 - 5 **s.5E** - delegation of powers
 - 6 **s.6A** - the **Employees' Pension Scheme, 1995**, and the **Pension Fund**
 - 7 **s.6C** - the **Employees' Deposit Linked Insurance Scheme, 1976**, and the Insurance Fund
- The structural point to carry:** the Act creates **one Board, one chief executive, three Funds and three Schemes**. **Three schemes, one enabling Act** - the fact F3.1 told you would be the most useful in the module.

MUST MASTER · S.6 - CONTRIBUTIONS, AND THE FULL RATE STRUCTURE

Section 6 requires the **employer's contribution** to be **10 per cent** of **basic wages, dearness allowance and retaining allowance**, with power in the Central Government to raise it to **12 per cent** by notification - **which it has done for the generality of establishments**. The **employee's contribution** is **equal** to the employer's; an employee **may contribute more voluntarily**, but the **employer is not bound to match the excess**.

THE VERIFIED RATE STRUCTURE - learn this block as a unit:

Item	Rate	Notes
Employee contribution	12%	All of it to the provident fund
Employer contribution	12%	Splits, see next two rows
- to the Pension Scheme (EPS)	8.33%	The larger share
- to the provident fund	3.67%	$8.33 + 3.67 = 12.00$
EDLI	0.50%	Employer only
Administrative charges	0.50%	Employer only
Central Government to EPS	1.16%	The State's own share
Wage ceiling	Rs 15,000	Cap on the contribution base
Interest on PF accumulations	8.25%	FY 2025-26 , third consecutive year
ECR filing and remittance	by the 15th	Of the following month

THE REDUCED RATE OF 10 per cent applies instead of 12 per cent to:

- 1 any establishment employing **fewer than 20** persons
- 2 a **sick industrial company** as declared by the appropriate authority
- 3 an establishment which has at the end of any financial year **accumulated losses equal to or exceeding its entire net worth**
- 4 establishments in the **jute, beedi, brick, coir** (other than the spinning sector) and **guar gum** industries

The mnemonic for the five industries: JUTE, BEEDI, BRICK, COIR, GUAR GUM. All five are labour-intensive, low-margin and largely unorganised - the reduced rate is a **deliberate concession to marginal employers**, which is the same policy tension F3.1 named: **a payroll levy is a cost of formal employment, so the law softens it where formality is most fragile.**

WORKED EXAMPLE · A MONTHLY REMITTANCE, COMPUTED END TO END

Facts. An employee's monthly basic wages are **Rs 14,000**, dearness allowance **Rs 4,000**, house rent allowance **Rs 6,000**, overtime **Rs 1,500**. The establishment contributes at the normal rate.

Step 1 - build the contribution base. Base = **basic wages + DA + retaining allowance.** = 14,000 + 4,000 = **Rs 18,000** **HRA of Rs 6,000 and overtime of Rs 1,500 are excluded** - they are out of s.2(b) and are not added back by s.6.

Step 2 - apply the ceiling. The base of Rs 18,000 **exceeds the ceiling of Rs 15,000**, so contributions are computed on **Rs 15,000**.

Step 3 - the employee's share. 12% of 15,000 = **Rs 1,800**, all to the provident fund.

Step 4 - the employer's share, split.

- 1 To the **Pension Scheme**: 8.33% of 15,000 = **Rs 1,249.50**
- 2 To the **provident fund**: 3.67% of 15,000 = **Rs 550.50**
- 3 **Check**: 1,249.50 + 550.50 = **Rs 1,800**, which is 12% of 15,000. Correct

Step 5 - the employer's further charges.

- 1 **EDLI** 0.50% of 15,000 = **Rs 75**
- 2 **Administrative charges** 0.50% of 15,000 = **Rs 75**

Step 6 - state the answer. Employee **Rs 1,800**; employer **Rs 1,800** plus **Rs 150** of EDLI and administrative charges. **Total remitted: Rs 3,750**, payable with the ECR **by the 15th of the following month.**

Three traps this example is built to expose.

- 1 **Including HRA in the base.** It is excluded. Adding it would have given a base of Rs 24,000 - and because the ceiling then bites anyway, the error is invisible in this example but decisive whenever the base is near Rs 15,000
- 2 **Forgetting the ceiling.** 12% of 18,000 is Rs 2,160, not Rs 1,800
- 3 **Splitting the employee's 12 per cent.** It is **never** split - **the entire employee share goes to the provident fund**, and the pension is funded from the employer's 8.33% plus the Government's 1.16%

CHECK YOURSELF · SESSION 3

- 1 Which section creates the Central Board, and which creates your post?
- 2 What is the statutory rate in s.6, and how did it become 12 per cent?
- 3 May an employee contribute more than the employer? Must the employer match?
- 4 Reproduce the ten-row rate table from memory
- 5 Name the four situations and five industries attracting the reduced rate of 10 per cent
- 6 Compute the total monthly remittance for basic Rs 13,000, DA Rs 3,500, HRA Rs 5,000
- 7 By what date must the ECR be filed and the money remitted?

4. Session 4 - Your Powers: 7A to 14B ★★★★★

This is the section of the Act you will live inside. Learn it as a single chain, because that is how it operates.

MUST MASTER · S.7A - DETERMINATION OF MONEYS DUE FROM EMPLOYERS

The power. Where there is a dispute about the applicability of the Act to an establishment, or about the amount due from an employer, the **Central Provident Fund Commissioner, any Additional, Deputy, Regional or ASSISTANT Provident Fund Commissioner** may, by order, **determine the amount due** - and for that purpose **conduct an inquiry**.

So s.7A does two distinct things, and confusing them is a real error:

- 1 It decides **whether the Act applies at all** to the establishment
- 2 It decides **how much** is due

The powers you hold in the inquiry. For the purposes of the inquiry the officer has **the same powers as are vested in a court under the Code of Civil Procedure, 1908** for:

- 1 **enforcing the attendance of any person** and examining him on oath
- 2 **requiring the discovery and production of documents**
- 3 **receiving evidence on affidavit**
- 4 **issuing commissions** for the examination of witnesses

And the inquiry is deemed to be a judicial proceeding within the meaning of the Indian Penal Code provisions on giving false evidence.

Three procedural rules that decide whether your order survives:

- 1 **A reasonable opportunity of being heard MUST be given.** This is statutory, and it is also Article 21 as read in *Maneka Gandhi*
- 2 **The officer MAY proceed EX PARTE** where the employer, having been served, does not appear
- 3 **s.7A(4)** allows an **ex parte order to be SET ASIDE** on the employer showing sufficient cause, on application made within **three months** of the order

On limitation. The Act prescribes **no express limitation period for initiating a s.7A inquiry** - and you should not invent one. What the courts have required is that the power be exercised **within a reasonable time**, judged on the facts, and that stale claims not be pursued oppressively. **Contrast s.7C, which does carry an express five-year period for escaped amounts.** If a question offers a specific number of years for commencing a 7A inquiry, treat it with suspicion; the express five years belongs to **7C**.

The one sentence that matters most about this section, and it repeats the lesson of F2.4: a hearing is **necessary but not sufficient. You must show your working.** An order that records the employer's presence and then states a figure, without setting out the basis of computation and dealing with the objections raised, is an order without reasons - and that is a breach of **Article 14**, not merely bad style.

MUST MASTER · 7B, 7C AND 7-I - REVIEW, ESCAPED AMOUNT, AND APPEAL

Section	What it is	The essentials
7B	REVIEW of a 7A order	The officer who passed the order may review his own order on the ground of discovery of new and important matter or evidence which, after the exercise of due diligence, was not within his knowledge - or for a mistake or error apparent on the face of the record . Application within 45 days . An order may not be reviewed merely because a different view is possible
7C	DETERMINATION OF ESCAPED AMOUNT	Where an amount has escaped determination, or been under-determined , the officer may pass a further order - within FIVE YEARS from the date of the original order. This is the Act's own re-opening provision
7-I	APPEAL	An employer aggrieved by an order under 7A, 7B, 7C, 14B and certain other sections may appeal to the Tribunal . 60 days , extendable by a further 60 on sufficient cause = 120 days maximum

The appellate forum, stated correctly. Appeals go to the **Central Government Industrial Tribunal cum Labour Court acting as the EPF Appellate Tribunal**. The separate EPF Appellate Tribunal established under **s.7D** was **merged into the CGIT by the Finance Act 2017**. From the Tribunal, the route is the **High Court under Article 226** - not a further statutory appeal.

s.7-O - THE SEVENTY-FIVE PER CENT DEPOSIT. This is the provision candidates most often miss and employers most often feel. **No appeal by an employer shall be entertained by the Tribunal unless he has deposited with it SEVENTY-FIVE PER CENT of the amount determined under s.7A.** The Tribunal may, for reasons to be recorded in writing, **waive or reduce** that deposit.

Why the deposit exists, which is the interview answer: the money is not the employer's - **it is the employees' provident fund**. An unconditional right of appeal with no deposit would make appeal a free method of deferring somebody else's retirement savings indefinitely. **The deposit converts an appeal from a delaying tactic into a genuine challenge**, and the waiver power prevents it becoming a denial of justice to an employer who genuinely cannot pay.

MUST MASTER · 7Q AND 14B - THE TWO ADD-ONS, AND THE DISTINCTION THAT IS ALWAYS TESTED

When an employer pays late, **two separate sums** are added. They are constantly confused, and the difference is the point.

Provision	What it is	The essentials
s.7Q	INTEREST	12 per cent per annum on the amount due, from the date it became due until payment. Compensatory - it is the price of the fund having been deprived of the money
s.14B	DAMAGES	Recovered for default in payment of contributions. Penal - it punishes the default. Graded by the length of the default under Paragraph 32A of the Scheme, and capped at 100 per cent of the arrears

The graded rates of damages under Paragraph 32A, expressed as a rate per annum on the arrears:

- 1 default of **less than two months** - **5%**
- 2 **two months and above but less than four** - **10%**
- 3 **four months and above but less than six** - **15%**
- 4 **six months and above** - **25%**

NOW THE DISTINCTION THAT DECIDES QUESTIONS AND CASES:

- 1 **s.14B damages MAY be reduced or waived** in the case of a **sick industrial company**, in accordance with a scheme for its rehabilitation
- 2 **s.7Q interest may NOT be waived.** There is no corresponding power
And the reason is exactly the compensatory-against-penal split. Damages punish, so a body rehabilitating a sick company may forgo the punishment as a matter of policy. **Interest is not a punishment - it is compensation for money withheld from the members' fund**, and no authority may make the members bear that loss to relieve the employer. **A question asking which of interest or damages can be waived is asking whether you understand that difference, not whether you have memorised a proviso.**
Note also that damages under 14B require the employer to be given an opportunity of being heard before they are levied - so 14B has its own natural-justice requirement, and 14B orders are themselves appealable under 7-I.

KNOW · SECTIONS 8 TO 8G - RECOVERY, AND S.14 PENALTIES

Recovery. Amounts due may be recovered as **arrears of land revenue**. The machinery is:

- 1 **s.8** - mode of recovery of moneys due from an employer
- 2 **s.8A** - recovery of moneys by **employers and contractors**: the principal employer who has paid in respect of a contractor's employees may **recover from the contractor. A right of recovery, never a defence**
- 3 **s.8B to 8E** - issue of a **certificate** by the authorised officer to the **Recovery Officer**, who recovers by attachment and sale of property, arrest and detention, or appointment of a receiver
- 4 **s.8F - OTHER MODES OF RECOVERY**: the officer may require **any person from whom money is due to the employer**, or who holds money for or on account of the employer, to pay it to the Fund. **This is a garnishee power, and it is the provision that makes recovery from an employer's bankers effective** - a point you will grasp faster than most candidates

s.12 - the employer must NOT REDUCE WAGES or the total quantum of benefits directly or indirectly, by reason of his liability to contribute. **The employer's share is a genuine cost on the employer**, not something recoverable from the employee by adjusting the wage.

s.14 - PENALTIES. Offences include avoiding payment, making false statements to obtain benefit, and default in payment of contributions or in complying with the Scheme or the Act, with imprisonment and fine prescribed on a graded scale.

- 1 **s.14A - offences by companies**: every person in charge of and responsible to the company is deemed guilty, subject to the due-diligence defence, and a director or manager with whose consent or connivance the offence was committed is liable
- 2 **s.14AA - enhanced punishment** for a **second or subsequent** conviction
- 3 **s.14C** - cognizance and trial of offences

Exact terms of imprisonment and amounts of fine under s.14 vary by limb and have been amended; they are marked CONFIRM here rather than asserted from memory. What is examinable and safe is the **structure** - offences exist, companies' officers are liable under 14A, and repetition is punished more severely under 14AA.

CHECK YOURSELF · SESSION 4

- 1 Which officers may act under 7A? What two distinct questions does 7A decide?
- 2 Name the four CPC powers available in the inquiry
- 3 May you proceed ex parte, and how may such an order be set aside? Within what time?
- 4 Is there a statutory limitation for beginning a 7A inquiry? Where does the five-year period actually belong?
- 5 State the grounds and the time limit for review under 7B
- 6 Give the appeal period under 7-I and the appellate forum, with the reason the forum has that name
- 7 What is the s.7-O deposit, and what is the policy reason for it?
- 8 Distinguish 7Q from 14B. Which may be waived, for whom, and why?
- 9 Recite the four graded rates of damages and the overall cap
- 10 What does s.8F allow, and why is it the most effective recovery provision?
- 11 What does s.12 forbid?

5. Session 5 - Protections, and the Reported 2026 Position ★★★★★

Two short sections protect the member's money from everybody else. Then the current state of flux, printed honestly as pairs.

MUST MASTER · S.10 AND S.11 - THE TWO PROTECTIVE SECTIONS

s.10 - PROTECTION AGAINST ATTACHMENT. The amount standing to the credit of any member in the Fund:

- 1 **shall not in any way be capable of being assigned or charged**
 - 2 **shall not be liable to attachment** under any decree or order of any court in respect of any debt or liability incurred by the member
 - 3 and on the member's **insolvency**, the Official Assignee or Receiver **cannot claim it**
- The protection extends to the amount payable to a nominee** on the member's death, which is likewise not attachable in respect of the member's debts.

Why this section exists, and it completes the argument of F3.1. The Act's whole purpose is to defeat **myopia** by compelling saving. That purpose would be entirely destroyed if the accumulation could be seized by a creditor - because then the compelled saving would simply be transferred to whoever the member owed money to, and the member would still reach 58 with nothing. **A retirement saving that creditors can take is not a retirement saving at all.** So the law makes the fund **untouchable**, and accepts the cost that a provident fund balance is not available security for a loan.

s.11 - PRIORITY OF PAYMENT OF CONTRIBUTIONS OVER OTHER DEBTS. Where an employer is **adjudicated insolvent**, or a company is **being wound up**, amounts due from him in respect of contributions, damages, accumulations and administrative charges are to be **paid in priority** to other debts in the distribution of the property.

Read s.10 and s.11 together as one idea from two directions:

- 1 **s.10 protects the member's money from the MEMBER'S creditors**
- 2 **s.11 protects the members' money from the EMPLOYER'S creditors**

Between them they answer the question F3.1 posed about employer liability. Recall that a pure employer-liability benefit like gratuity **fails** when the employer is insolvent, because no fund stands behind it. The provident fund is different in **two** ways: the money is already in a fund outside the employer's hands, **and** anything still owed ranks ahead of the employer's other creditors. **That is the structural advantage of insurance over employer liability, written into two sections.**

IMPORTANT · THE REPORTED 2026 POSITION - BOTH VERSIONS PRINTED, AS THE COMPACT MANUAL DOES

Three changes are **reported but NOT Gazette-verified**. The historic and the reported current position are both printed, and labelled, because the 2023 paper was set under the old regime and a 2026 paper may test either.

Item	HISTORIC position	REPORTED 2026 position
The Scheme	EPF Scheme 1952 framework	An EPF Scheme 2026 reportedly replaces it. 12% and Rs 15,000 retained , but the ceiling is now worded " as notified by the Central Government ", so it is revisable without amending the Scheme . Pension ceiling Rs 15,000 to Rs 25,000 is under consideration ONLY, not decided . The parent Act remains the 1952 Act either way
Full withdrawal on unemployment	2 months of unemployment, no minimum balance	12 months , plus a 25% minimum balance to be retained
Higher-pension window	Open following the November 2022 Supreme Court judgment	NOT currently open . EPFO states no plans to re-open it; the new EPS rules reportedly omit the clause. The Madras High Court, Madurai bench, reported 9 July 2026 , reaffirmed the entitlement of exempted establishments . Litigation continues

How to handle this in the exam. If a question gives you a bare figure with no date anchor, prefer the **historic, settled** position - that is what a paper set from standard sources will most likely reflect. If the question is explicitly about the **current** or **2026** position, give the reported one and say it is reported. **In the interview, printing both and labelling them is strictly better than sounding certain**, and it demonstrates exactly the evidential discipline the job requires.

One thing does not change in any version: the ceiling is Rs 15,000 and the rate is 12 per cent. The wording of how the ceiling is fixed changed; the ceiling itself did not.

MUST MASTER · OLD ACT AGAINST THE SOCIAL SECURITY CODE 2020 - THE PAIRS FOR THIS ACT

The Code on Social Security, 2020 subsumed the EPF & MP Act as **Chapter III**. What a candidate must know is what **changed** and, more importantly, what **did not**.

- 1 UNCHANGED - the threshold stays at 20.** This is the single most valuable line in the box. The Code did **not** move EPF coverage
- 2 UNCHANGED - 12 per cent, the 8.33 / 3.67 split, and the Rs 15,000 ceiling**
- 3 UNCHANGED in substance - the determination, appeal and recovery architecture**, though renumbered within the Code
- 4 CHANGED - vocabulary.** The **Inspector** becomes the **Inspector-cum-Facilitator**; registration, licensing and returns are consolidated; "**career centre**" replaces the employment exchange
- 5 CHANGED - reach.** The Code extends social security to **gig and platform workers** and **aggregators** (Chapter F3.8), which the 1952 Act never contemplated
- 6 ABOLISHED earlier, and worth stating precisely** - the separate **EPF Appellate Tribunal**, merged into the **CGIT by the Finance Act 2017**, before the Code

The exam habit from F2.9 applies with full force here: read the statutory name in the stem first. For most EPF numbers the answer is the same under both instruments - which is exactly why examiners prefer to test the thresholds that **did** move, and why you should be able to say, without hesitation, that **EPF 20 and ESI 10 are not among them**.

ACTION · WHERE THIS CHAPTER LEAVES YOU, AND WHAT F3.3 DOES

You can now read the Act. Test yourself against the chain in one breath: **1(3) brings the establishment in at 20 - 1(5) keeps it in - 2(f) decides who counts, including the contractor's workers - 2(b) with s.6 fixes the base as basic plus DA plus retaining allowance, capped at Rs 15,000 - s.6 fixes 12 per cent and the 8.33 / 3.67 split - 7A determines what is owed - 7Q adds 12 per cent interest that cannot be waived and 14B adds graded damages that can - 7-I gives an appeal in 60 plus 60 days on a 75 per cent deposit - 8F recovers it - and s.10 and s.11 make sure the money reaches the member.**

Next: Chapter F3.3 - the three schemes. The Act gave the power; the Schemes contain the benefits. F3.3 takes **EPF, EPS 1995** and **EDLI 1976** in turn: what each insures against, the withdrawal and partial-withdrawal rules, the **pension formula** you already met in F3.1 now with the eligibility and the family pension structure, the **EDLI assurance**, and the higher-pension question in full.

6. Graded Practice - 44 Questions ★★★★★

6.1 Level 1 - Recognition

Q. 1. The EPF & MP Act, 1952 applies to a scheduled factory employing

(a) 10 or more persons (b) 20 or more persons (c) 50 or more persons (d) 100 or more persons

Q. 2. The provision embodying "once covered, always covered" is Section

(a) 1(3) (b) 1(4) (c) 1(5) (d) 16

Q. 3. Voluntary coverage on a joint request of the employer and the majority of employees is provided by Section

(a) 1(3) (b) 1(4) (c) 1(5) (d) 17

Q. 4. A co-operative society working without the aid of power is outside the Act if it employs fewer than

(a) 20 persons (b) 30 persons (c) 50 persons (d) 100 persons

Q. 5. The power to exempt an establishment so that it may maintain its own provident fund trust is in Section

(a) 7A (b) 10 (c) 16 (d) 17

Q. 6. "Superannuation" under Section 2(II) means attaining the age of

(a) 55 years (b) 58 years (c) 60 years (d) 62 years

Q. 7. The wage ceiling for provident fund contributions is

(a) Rs 6,500 (b) Rs 15,000 (c) Rs 21,000 (d) Rs 25,000

Q. 8. The employer's contribution is divided as

(a) 8.33% to provident fund and 3.67% to pension (b) 8.33% to pension and 3.67% to provident fund
(c) 6% to each (d) 10% to pension and 2% to provident fund

Q. 9. Administrative charges and EDLI are each payable at

(a) 0.25% (b) 0.50% (c) 1.00% (d) 1.16%

Q. 10. The Electronic Challan cum Return must be filed by the

(a) 5th of the following month (b) 10th of the following month (c) 15th of the following month (d) last day of the following month

Q. 11. Interest under Section 7Q is payable at

(a) 6% per annum (b) 9% per annum (c) 12% per annum (d) 18% per annum

Q. 12. Damages under Section 14B are capped at

(a) 25% of the arrears (b) 50% of the arrears (c) 75% of the arrears (d) 100% of the arrears

Q. 13. The period for appeal under Section 7-I is

(a) 30 days, extendable by 30 (b) 60 days, extendable by 60 (c) 90 days, not extendable (d) 120 days, not extendable

Q. 14. An escaped amount may be determined under Section 7C within

(a) one year (b) three years (c) five years (d) seven years

Q. 15. Protection of a member's accumulation against attachment is given by Section

(a) 8 (b) 10 (c) 11 (d) 12

Q. 16. Priority of provident fund dues over other debts on the employer's insolvency is given by Section

(a) 8F (b) 10 (c) 11 (d) 14B

Q. 17. The chief executive of EPFO, appointed under Section 5D, is the

(a) Chairman of the Central Board (b) Central Provident Fund Commissioner (c) Secretary, Ministry of Labour (d) Regional Provident Fund Commissioner

6.2 Level 2 - Understanding

Q. 18. The EPF & MP Act 1952 is described as an "enabling" Act because

(a) it enables employers to opt out (b) it confers powers to frame schemes rather than itself creating the benefits (c) it enables State Governments to legislate (d) it applies only on notification

Q. 19. Which one of the following is excluded from "basic wages" under Section 2(b)?

(a) Retaining allowance (b) House rent allowance (c) Wages for a holiday with wages (d) Wages while on leave

Q. 20. Contributions under Section 6 are payable on

(a) basic wages only (b) basic wages and house rent allowance (c) basic wages, dearness allowance and retaining allowance (d) gross wages including overtime

Q. 21. The definition of "employee" in Section 2(f) is significant chiefly because it

(a) excludes managers (b) includes a person employed by or through a contractor (c) covers only factory workers (d) excludes apprentices of every kind

Q. 22. A principal employer who has paid contributions in respect of a contractor's employees

(a) may recover them from the contractor under Section 8A (b) has no remedy (c) may deduct them from the employees' wages (d) is entitled to a refund from the Fund

Q. 23. An establishment covered in 2019 with 30 employees now employs 8. The Act

(a) ceases to apply immediately (b) ceases to apply after one year (c) continues to apply by virtue of Section 1(5) (d) applies only if the employer consents

Q. 24. The infancy protection of three years for a newly established factory

(a) still applies (b) was omitted by the Amendment Act of 1988 (c) applies only to seasonal factories (d) was extended to five years

Q. 25. Which one of the following distinguishes Section 16 from Section 17?

(a) Section 16 concerns exemption, Section 17 exclusion (b) Under Section 16 the Act does not apply at all, whereas under Section 17 it applies but the establishment keeps its own approved trust (c) Both are identical in effect (d) Section 17 applies only to co-operative societies

Q. 26. An employee joins on a monthly pay of Rs 12,000 and later crosses Rs 15,000. He

(a) becomes an excluded employee immediately (b) remains a member, with the ceiling operating as a cap on the contribution base (c) must withdraw his accumulation (d) is transferred to the ESI scheme

Q. 27. The reduced rate of 10 per cent applies to establishments in the

(a) cement, steel and mining industries (b) jute, beedi, brick, coir and guar gum industries (c) banking and insurance sectors (d) information technology sector

Q. 28. In a Section 7A inquiry the officer has the powers of a civil court for all of the following except

(a) enforcing the attendance of persons (b) requiring discovery and production of documents (c) awarding compensation for mental distress (d) issuing commissions for the examination of witnesses

Q. 29. An ex parte order under Section 7A may be set aside on sufficient cause being shown, on application within

(a) 30 days (b) three months (c) six months (d) one year

Q. 30. Review under Section 7B is available

(a) whenever a different view is possible (b) on discovery of new and important evidence, or for an error apparent on the face of the record (c) only with the Tribunal's permission (d) only where the employer has paid in full

Q. 31. Before an employer's appeal under Section 7-I is entertained, he must ordinarily deposit

(a) 25% of the amount determined (b) 50% of the amount determined (c) 75% of the amount determined (d) the whole amount

Q. 32. Section 12 of the Act prohibits an employer from

(a) engaging contract labour (b) reducing wages or the total quantum of benefits by reason of his liability to contribute (c) employing fewer than 20 persons (d) maintaining his own trust

Q. 33. Section 8F is significant because it permits recovery from

(a) the employees' accumulations (b) any person who owes money to, or holds money for, the employer (c) the Central Government (d) the trade union

6.3 Level 3 - Recruitment Test standard**Q. 34. Consider the following statements:**

- 1 Dearness allowance is excluded from the definition of "basic wages" in Section 2(b).
- 2 Contributions under Section 6 are nevertheless payable on dearness allowance.
- 3 House rent allowance is included in the contribution base.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 35. An employee's basic wages are Rs 13,000, dearness allowance Rs 3,000, house rent allowance Rs 5,000. The employee's monthly contribution is

(a) Rs 1,560 (b) Rs 1,800 (c) Rs 1,920 (d) Rs 2,520

Q. 36. On the facts of the previous question, the amount credited to the Pension Scheme from the employer's share is

(a) Rs 1,249.50 (b) Rs 1,332.80 (c) Rs 550.50 (d) Rs 1,800

Q. 37. Which one of the following statements is not correct?

(a) Interest under Section 7Q is 12 per cent per annum (b) Damages under Section 14B may be reduced or waived for a sick industrial company (c) Interest under Section 7Q may be waived in the case of a sick industrial company (d) Damages under Section 14B are graded by the length of the default

Q. 38. The correct explanation of why damages may be waived but interest may not is that

(a) damages are larger in amount (b) damages are penal while interest is compensatory for money withheld from the members' fund (c) interest is levied by the Tribunal (d) damages are payable only by companies

Q. 39. Match List-I with List-II and select the correct answer using the code below:

List-I (Section)	List-II (Subject)
A. 7A	1. Protection against attachment
B. 7C	2. Determination of moneys due
C. 10	3. Priority over other debts
D. 11	4. Escaped amount

(a) A-2 B-4 C-1 D-3 (b) A-2 B-1 C-4 D-3 (c) A-4 B-2 C-1 D-3 (d) A-2 B-4 C-3 D-1

Q. 40. Consider the following statements about the appellate structure:

- 1 Appeals under Section 7-I lie to the CGIT acting as the EPF Appellate Tribunal.
- 2 The separate EPF Appellate Tribunal was merged into the CGIT by the Finance Act 2017.
- 3 From the Tribunal a further statutory appeal lies to the Supreme Court.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 41. Sections 10 and 11 are best understood together because

(a) both deal with recovery (b) Section 10 protects the member's money from his own creditors while Section 11 protects it from the employer's creditors (c) both apply only on winding up (d) both were inserted in 1988

Q. 42. An employer contends before you that his contractor absconded without paying contributions for 40 workers, and that he is therefore not liable. The correct position is that

(a) the employer is not liable, the contractor being the employer of those workers (b) "employee" in Section 2(f) includes a person employed by or through a contractor, so the employer is liable, with only a right of recovery under Section 8A (c) liability is shared equally (d) the workers must claim against the contractor personally

Q. 43. Which one of the following statements about the reported 2026 position is correct?

(a) The parent Act has been replaced by a new Act of 2026 (b) The reported EPF Scheme 2026 retains 12 per cent and Rs 15,000 but words the ceiling as "as notified by the Central Government", the parent Act remaining that of 1952 (c) The pension ceiling has been raised to Rs 25,000 (d) The higher-pension window has been re-opened

Q. 44. Which one of the following did the Code on Social Security, 2020 not change?

- (a) The designation of the Inspector (b) The coverage threshold of 20 employees for provident fund
(c) The extension of social security to gig and platform workers (d) The consolidation of registration and returns

7. Answers and Explanations

7.1 Level 1

Q	Ans	Explanation
1	b	20 or more. Keep it apart from ESI, gratuity and maternity, all at 10
2	c	s.1(5) - the one-way door
3	b	s.1(4) - and it needs the employer and the majority of employees
4	c	50 , and only if it also works without the aid of power . Both conditions must hold
5	d	s.17. s.16 is exclusion, not exemption
6	b	58 years
7	b	Rs 15,000. Rs 21,000 is the ESI ceiling; Rs 6,500 is the historic EPF ceiling; Rs 25,000 is the pension ceiling under consideration only
8	b	8.33% pension, 3.67% provident fund. Check $8.33 + 3.67 = 12.00$
9	b	0.50% each
10	c	The 15th
11	c	12% per annum
12	d	100% of the arrears
13	b	60 + 60 = 120 days maximum
14	c	Five years from the original order
15	b	s.10
16	c	s.11
17	b	The Central Provident Fund Commissioner

7.2 Level 2

Q	Ans	Explanation
18	b	It confers power to frame schemes. The interest rate, withdrawal rules and pension formula are all in Schemes , not the Act - which is why they can change by notification while the parent Act stands
19	b	HRA is expressly excluded, along with the cash value of food concession, DA, overtime, bonus, commission and presents. Retaining allowance is not excluded, and is in the contribution base
20	c	Basic wages + DA + retaining allowance. HRA and overtime are in neither the definition nor the base
21	b	It includes a person employed by or through a contractor - the source of the principal employer's liability. It does not exclude managers, and excludes only apprentices under the Apprentices Act 1961 or the standing orders

Q	Ans	Explanation
22	a	s.8A gives a right of recovery from the contractor . (c) is barred by s.12 , which forbids reducing wages by reason of the liability
23	c	s.1(5) . Coverage cannot be shed by shrinking
24	b	Omitted by the 1988 Amendment . An option offering it is testing an obsolete provision
25	b	s.16 - the Act does not apply. s.17 - it applies, but the money sits in the employer's own approved trust on not-less-favourable terms, under EPFO supervision
26	b	He remains a member ; the Rs 15,000 test applies at the time of joining . Thereafter the ceiling caps the base rather than ending membership
27	b	Jute, beedi, brick, coir and guar gum - all labour-intensive and largely unorganised
28	c	There is no power to award compensation . 7A determines what is due under the Act ; it is not a general civil jurisdiction. The other three are expressly conferred
29	b	Three months , under s.7A(4)
30	b	New and important evidence, or an error apparent on the face of the record , within 45 days . Review is not an appeal in disguise, so (a) is wrong
31	c	75 per cent , under s.7-O , which the Tribunal may waive or reduce for reasons recorded in writing
32	b	Reducing wages or benefits because of the contribution liability. The employer's share is a real cost on the employer
33	b	Any person who owes money to, or holds money for, the employer - a garnishee power, effective against the employer's bankers. It never touches the employees' accumulations

7.3 Level 3

Q	Ans	Explanation
34	a	1 and 2 only . This is the Act's signature trap - DA is out of the s.2(b) definition but back in through the s.6 charging provision . Statement 3 is false: HRA is in neither
35	b	Rs 1,800 . Base = 13,000 + 3,000 = Rs 16,000 , HRA excluded. That exceeds the Rs 15,000 ceiling, so contributions are on 15,000: 12% = Rs 1,800 . Option (c) Rs 1,920 is 12% of 16,000 - the answer if you forget the ceiling; (a) Rs 1,560 is 12% of 13,000 - the answer if you forget DA
36	a	Rs 1,249.50 - being 8.33% of Rs 15,000 . Rs 550.50 is the 3.67% going to the provident fund, and Rs 1,800 is the whole employer share
37	c	(c) is the false statement. Interest under 7Q may NOT be waived ; only 14B damages may be reduced or waived for a sick industrial company. The other three statements are correct
38	b	Damages are penal, interest is compensatory . A rehabilitation authority may forgo a punishment, but nobody may make the members bear the loss of being deprived of their own money
39	a	A-2 7A determination; B-4 7C escaped amount; C-1 s.10 attachment; D-3 s.11 priority
40	a	1 and 2 only . Statement 3 is wrong - from the Tribunal the route is the High Court under Article 226 , not a statutory appeal to the Supreme Court
41	b	s.10 shields the money from the MEMBER'S creditors; s.11 from the EMPLOYER'S . Together they give the fund the protection that pure employer-liability benefits such as gratuity lack

Q	Ans	Explanation
42	b	s.2(f) includes a person employed by or through a contractor , so the principal employer is liable; s.8A gives only a right of recovery , and the contractor's default or disappearance is no defence . This is the single most practically important proposition in the chapter
43	b	The reported Scheme retains 12% and Rs 15,000 but makes the ceiling " as notified by the Central Government ", and the parent Act remains the 1952 Act . (c) is under consideration only; (d) is contradicted by EPFO's stated position; (a) is simply wrong
44	b	The threshold of 20 did NOT change . The Code renamed the Inspector, extended cover to gig and platform workers, and consolidated registration and returns - but EPF 20 and ESI 10 both stayed

8. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F3.2 - THE EPF & MP ACT 1952

AN ENABLING ACT confers **power**, creates almost no benefit · **interest rate, withdrawal rules and pension formula are all in SCHEMES**, amendable by **notification** · so the reported **EPF Scheme 2026** can replace the 1952 Scheme while **the parent Act remains 1952** · *RBI Act → Master Direction → branch circular = Act → Schemes → EPFO circulars*

COVERAGE s.1(3)(a) scheduled **factory** with **20+** · **s.1(3)(b)** any other establishment with **20+** as notified · proviso - CG may cover **under 20** on **2 months' notice** · **s.1(4) VOLUNTARY** on **joint request of employer + MAJORITY of employees** · **s.1(5) ONCE COVERED, ALWAYS COVERED** - the one-way door, protects the **continuity of the member's record** · **INFANCY PERIOD**

ABOLISHED by the 1988 Amendment · threshold counts **PERSONS EMPLOYED**, not members
THRESHOLDS EPF 20 · ESI 10 · GRATUITY 10 · MATERNITY 10 · CO-OPERATIVE SOCIETY WITHOUT POWER 50

s.16 vs s.17 s.16 = THE ACT DOES NOT APPLY (co-op under 50 without power · Government establishments · establishments under another Act - all already having a **contributory PF or old age pension**; the principle is **NO DUPLICATION**) · **s.17 = THE ACT APPLIES but the employer keeps its OWN APPROVED TRUST** on **not-less-favourable** terms, inspectable, withdrawable
s.2(f) EMPLOYEE - WIDE any kind of work, manual or otherwise · in or in connection with · directly or indirectly · **INCLUDES A PERSON EMPLOYED BY OR THROUGH A CONTRACTOR** · apprentices excluded **only** under the **Apprentices Act 1961** or **standing orders** · so the **principal employer owes contributions on contract labour**; **s.8A gives a RIGHT OF RECOVERY, never a DEFENCE**; the contractor's default or disappearance is **NO DEFENCE** · *assess the payroll PLUS everything paid for labour through somebody else*

s.2(b) BASIC WAGES - THE TRAP EXCLUDES food-concession cash value · DA · HRA · overtime · bonus · commission · presents — **BUT s.6 CHARGES ON BASIC WAGES + DA + RETAINING ALLOWANCE** · DA is **OUT** of the definition and **BACK IN** through the charging section · HRA and overtime are in **NEITHER** · substance over nomenclature: an allowance paid **universally, ordinarily and necessarily** tends to be basic wages

OTHER DEFINITIONS s.2(e) employer = ULTIMATE CONTROL · **s.2(g) factory = with OR WITHOUT power** (unlike the Factories Act) · **s.2(ii) superannuation = 58** · **EXCLUDED EMPLOYEE (Para 2(f) of the Scheme)** - withdrew in full, or pay above Rs 15,000 **AT THE TIME OF JOINING**, or apprentice · **crossing Rs 15,000 mid-service does NOT make you excluded** - the ceiling becomes a **CAP, not an exit**

INSTITUTIONS s.5 EPF Scheme + Fund · **s.5A CENTRAL BOARD**, tripartite, chaired by the Union Labour Minister · **s.5D officers** - CPFC and the APFC post · **s.6A EPS 1995** · **s.6C EDLI 1976**

s.6 MONEY statutory rate **10%**, raised to **12% by notification** · employee's share **equal**; he may pay more, employer need not match · employee **12% ALL to PF** · employer **12% = 8.33% EPS + 3.67% PF** · **EDLI 0.50%** · **admin 0.50%** · **CG 1.16% to EPS** · ceiling Rs 15,000 · interest **8.25% FY 2025-26** · **ECR by the 15th**

REDUCED RATE 10% under **20 employees** · **sick industrial company** · **accumulated losses ≥ net worth** · **JUTE, BEEDI, BRICK, COIR, GUAR GUM**

s.7A DETERMINATION - YOUR POWER exercisable by **CPFC, Additional, Deputy, Regional or ASSISTANT PFC** · decides (i) **does the Act apply** and (ii) **how much is due** · **CPC powers: attendance, discovery and production, evidence on affidavit, commissions** · deemed a **judicial proceeding** · **reasonable opportunity of being heard is mandatory** · may proceed **EX PARTE**; **7A(4) set aside within 3 MONTHS** · **NO express limitation to begin** - only a **reasonable time**; the **FIVE YEARS** belongs to **7C** · a hearing is **NECESSARY BUT NOT SUFFICIENT** - **SHOW YOUR WORKING**, or the order fails **Art 14**

7B REVIEW new and important evidence, or error apparent on the face of the record · **45 days** · **not because another view is possible**

7C ESCAPED AMOUNT 5 YEARS from the original order

7-I APPEAL 60 + 60 = 120 days to the **CGIT acting as the EPF APPELLATE TRIBUNAL** (the separate Tribunal was **merged into CGIT by the FINANCE ACT 2017**) · then **HIGH COURT under Art 226**, **not** a statutory appeal to the Supreme Court · **7-O: DEPOSIT 75% before the appeal is entertained**, waivable for **reasons recorded** - because *the money is the employees'*, so appeal must not become free deferral

7Q vs 14B - ALWAYS TESTED 7Q INTEREST 12% p.a., COMPENSATORY, CANNOT BE WAIVED · **14B DAMAGES, PENAL, CAPPED AT 100% OF ARREARS, MAY BE REDUCED OR WAIVED FOR A SICK INDUSTRIAL COMPANY** · Para 32A grading: <2 months 5% · 2-4 months 10% · 4-6 months 15% · 6 months+ 25% · 14B needs its own **hearing** and is **appealable under 7-I RECOVERY** arrears of **land revenue** · **s.8** mode · **s.8A recovery from the CONTRACTOR** · **s.8B-8E certificate to the RECOVERY OFFICER** - attachment and sale, arrest, receiver · **s.8F OTHER MODES = GARNISHEE**, reach any person owing money to the employer - the most effective provision, and it works against his bankers

s.12 EMPLOYER MUST NOT REDUCE WAGES or benefits by reason of the contribution liability **PENALTIES s.14** offences · **s.14A companies** - persons in charge deemed guilty, due-diligence defence · **s.14AA enhanced punishment on a SECOND or subsequent conviction** · **s.14C** cognizance · *exact terms and fines = CONFIRM*

s.10 + s.11 - THE TWO PROTECTIONS s.10 accumulation **cannot be assigned or charged, is NOT ATTACHABLE** under any decree, and the Official Assignee **cannot claim it on the member's insolvency**; extends to the **nominee's** entitlement · **s.11** on the employer's insolvency or winding up, PF dues rank **IN PRIORITY** to other debts · **s.10 guards against the MEMBER'S creditors, s.11 against the EMPLOYER'S** · *together they give the fund what gratuity lacks* · *a retirement saving creditors can seize is not a retirement saving*

REPORTED 2026 - PRINT BOTH EPF Scheme 2026 reportedly replaces the 1952 framework; **12% and Rs 15,000 RETAINED** but the ceiling is worded "**as notified by the Central Government**"; **pension ceiling Rs 25,000 UNDER CONSIDERATION ONLY; PARENT ACT REMAINS 1952** · unemployment withdrawal **2 months historic → 12 months reported, with 25% MINIMUM BALANCE retained** · **HIGHER-PENSION WINDOW NOT OPEN**; Madras HC Madurai bench, **reported 9 July 2026**, reaffirmed **exempted establishments'** entitlement; litigation continues **CODE ON SOCIAL SECURITY 2020** EPF becomes **Chapter III** · **UNCHANGED: threshold 20, 12%, 8.33/3.67, Rs 15,000, and the determination-appeal-recovery architecture** · **CHANGED: Inspector-cum-Facilitator, consolidated registration and returns, career centre, and cover for GIG and PLATFORM workers and AGGREGATORS** · read the statutory name in the stem first

THE CHAIN IN ONE BREATH 1(3) in at 20 → 1(5) keeps you in → 2(f) counts the contractor's workers → 2(b) with s.6 makes the base basic + DA + retaining, capped at Rs 15,000 → 12% with 8.33/3.67 → 7A determines → 7Q 12% unwaivable + 14B graded damages waivable → 7-I in 60 + 60 on a 75% deposit → 8F recovers → s.10 and s.11 deliver it to the member

9. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F3.2 - THE EPF & MP ACT 1952

ENABLING ACT — power in the **Act**, numbers in the **SCHEMES**

s.1(3) 20+ · s.1(4) VOLUNTARY, joint request · s.1(5) ONCE COVERED ALWAYS COVERED

EPF 20 · ESI 10 · GRATUITY 10 · MATERNITY 10 · CO-OP WITHOUT POWER 50

INFANCY PERIOD ABOLISHED 1988

s.16 = ACT DOES NOT APPLY (no duplication) · s.17 = APPLIES, OWN TRUST, not less favourable

s.2(f) EMPLOYEE INCLUDES A PERSON EMPLOYED BY OR THROUGH A CONTRACTOR

s.8A = RIGHT OF RECOVERY, NOT A DEFENCE · contractor's default is NO DEFENCE

s.2(b) EXCLUDES DA, HRA, OVERTIME, BONUS, COMMISSION — BUT s.6 CHARGES ON BASIC + DA + RETAINING

HRA AND OVERTIME ARE IN NEITHER · CEILING Rs 15,000

employee 12% ALL to PF · employer 12% = 8.33% EPS + 3.67% PF · EDLI 0.50% · admin 0.50% · CG 1.16% · interest 8.25% · ECR by the 15th

REDUCED 10%: under 20 · sick company · losses ≥ net worth · JUTE BEEDI BRICK COIR GUAR GUM

s.2(II) SUPERANNUATION = 58 · factory = WITH OR WITHOUT POWER

EXCLUDED EMPLOYEE: pay above Rs 15,000 AT JOINING — crossing it later does NOT exclude

s.7A DETERMINATION — CPFC/Addl/Dy/Regional/ASSISTANT · CPC powers · hearing MANDATORY · ex parte allowed · SET ASIDE IN 3 MONTHS · SHOW YOUR WORKING

7B REVIEW 45 days · 7C ESCAPED AMOUNT 5 YEARS · 7-I APPEAL 60 + 60 · 7-O DEPOSIT 75%

7Q INTEREST 12% COMPENSATORY — NEVER WAIVED

14B DAMAGES PENAL, MAX 100% — WAIVABLE FOR A SICK COMPANY · 5 / 10 / 15 / 25%

s.8F = GARNISHEE · s.12 = DO NOT REDUCE WAGES · s.14A companies · s.14AA repeat

s.10 vs MEMBER'S creditors · s.11 vs EMPLOYER'S creditors

2026 REPORTED: Scheme 2026, ceiling "as notified", PARENT ACT STILL 1952 · 12-month withdrawal + 25% retained · HIGHER PENSION NOT OPEN

CODE 2020: threshold 20 UNCHANGED · Inspector-cum-Facilitator · gig and platform workers added

CHAIN 1(3) → 1(5) → 2(f) → 2(b)+s.6 → 7A → 7Q + 14B → 7-I → 8F → s.10 + s.11